

2020 Tax Brackets and Rates

(Source: [IRS.gov](https://www.irs.gov))

Tax Rate	Single	Head of Household	Married, Filing Jointly	Married, Filing Separately
10%	\$0 to \$9,875	\$0 to \$14,100	\$0 to \$19,750	\$0 to \$9,875
12%	\$9,876 to \$40,125	\$14,101 to \$53,700	\$19,751 to \$80,250	\$9,876 to \$40,125
22%	\$40,126 to \$85,525	\$53,701 to \$85,500	\$80,251 to \$171,050	\$40,126 to \$85,525
24%	\$85,526 to \$163,300	\$85,501 to \$163,300	\$171,051 to \$326,600	\$85,526 to \$163,300
32%	\$163,301 to \$207,350	\$163,301 to \$207,350	\$326,601 to \$414,700	\$163,301 to \$207,350
35%	\$207,351 to \$518,400	\$207,351 to \$518,400	\$414,701 to \$622,050	\$207,351 to \$311,025
37%	\$518,401 or more	\$518,401 or more	\$622,051 or more	\$311,026 or more

With this breakdown, the total amount in federal income taxes alone on an \$86,000 salary would be \$12,095, for an average tax rate of 14.06%. While we're looking at federal income tax alone for this example, keep in mind that you'd also pay FICA taxes of 7.65% (this is the same for everyone and does not change by bracket), plus whatever your state's rate for income tax is (and any local taxes as well).

However, if you were to contribute \$12,000 to a 401(k), 457(b), or 403(b), your federal income tax obligation would fall to \$9,455 at an average tax rate of 12.78%, saving you \$2,640 for the year. If you also contributed \$6,000 to a traditional IRA, then your annual federal income tax obligation would go down further to \$8,135 for a total average tax rate of 11.96%, saving you \$3,960 for the year.

Essentially, you're now paying 0% in federal income taxes for the year on that \$18,000 you contributed to your retirement savings, whereas before you would have paid 22% on it.